while pursuing its inflation target ‘to ascertain risk to sustainable economic growth’. All these examples clearly demonstrate that central banks everywhere interpret their price stability objective in the context of growth, contrary to Chidambaram’s stereotyping.

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Although the high-interest-rate regime would be the main area of difference between the government and the Reserve Bank, there were other issues that stoked the friction even deeper.

One such issue which was almost always a point of contention in my pre-policy meeting with the finance minister was the estimate for growth that the Reserve Bank would be putting out in its policy document. The government’s pet peeve was that the Reserve Bank was being too cynical in its forecasts. Either the secretary of economic affairs or the chief economic adviser (CEA) would contest our estimate with their assumptions and estimates which I thought was par for the course. What used to irritate me, though, was that almost seamlessly the discussion would move from objective arguments to subjective considerations, with one of the senior officers suggesting that the Reserve Bank must project a higher growth rate and a lower inflation rate in order to share responsibility with the government for ‘shoring up sentiment’. Finance Secretary Arvind Mayaram went to the extent of saying in one meeting that ‘whereas everywhere else in the world, governments and central banks are cooperating, here in India the Reserve Bank is being very recalcitrant’.

I was invariably discomfited and annoyed by these objections and insinuations. I was also often dismayed that the ministry of finance would seek a higher estimate for growth while simultaneously arguing for a softer stance on interest rate without seeing the obvious inconsistency between these two demands. I used to take a consistent and firm position that the Reserve Bank cannot deviate from its best professional judgement just to doctor public sentiment. Our projections have to be consistent with our